Ericsson

3Q26: Print strong on the back of strong Networks growth and margin resilience, but risks associated with weak RAN market have not passed

Neutral

ERICb.ST, ERICB SS
Price (15 Oct 26):Skr103.70
Price Target (Jun-28):Skr102.00

Neutral

ERIC, ERIC US
Price (15 Oct 26):$10.71
Price Target (Jun-28):$10.20

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- **Ericsson's 3Q print was very strong. The question is whether this is repeatable or a one-off:** Ericsson grew 9% YoY in the Networks business unit in 3Q. This growth is significantly higher than expected and much higher than the combined growth seen in 1H26. The company has indicated that the strength came from: i). Share gains in Japan coupled with stronger demand in India; ii). Customers are pre-buying equipment because of the expectation that prices will increase due to the component price inflation; iii). Ericsson has been actively upselling customers to higher value products and software to offset the negative impact from component price inflation. Of these reasons, only the first is structural, and the latter two are likely to fade, especially in 2027. Thus, we do not believe that given that the RAN market is not growing, there is any reason to upgrade sales growth for Ericsson. Ericsson, however, also beat on margin – even excluding the one-off associated with payments it received in Q3 for unlicensed periods in the past under a new IPR deal. Thus, the question is more difficult to answer if the margin upside is sustainable given the company's ongoing restructuring plans. Component costs have increased and will have a negative impact on margins if Ericsson cannot renegotiate contracts or continue to succeed in terms of short-term measures, such as up-selling higher value products to customers that enable a better mix. At the same time, this is much more of a 'black box'; component cost increases are real and it will be difficult to easily renegotiate telco contracts. So, our view on this is that we believe that the company can succeed to some extent in terms of changing mix and controlling costs, but if customers don't change contracts or agree to different product configurations, the company has an ongoing margin risk in 2027. That said, the company has executed well in 2026, and if this tight execution continues, the company could minimise, though not fully escape, the impact of the higher component costs.
- **Changes to estimates.** We are making only minor changes to our forward estimates despite the beat (with most of the change being in 2026 due to the beat) given our apprehension on RAN spending coupled with the component cost inflation and the risks it brings to margin. Ericsson has guided 4Q26 Network sales growth to be in line with three-year average seasonality, which implies ~17% QoQ growth. On profitability, Ericsson has guided for Networks adjusted gross margin of 49%-51% i.e. 50% at the midpoint benefiting from product mix. The company also indicated that higher component costs would have a gradually greater impact in coming quarters. We have also changed our FX assumption for SEKUSD to 10.0 (which is what is assumed by the company for guidance as well). Overall, the changes we made are:
  - On **Revenue**, we are raising our FY26/FY27/FY28 estimates by 1.5%/0.1%/0.1%, showing the increase in FY26 but no real change in the forward years.
  - On **Gross profit**, our FY26/FY27/FY28 estimates are 2.0%/0.2%/0.2% higher than before, driven by the 3Q26 beat and 4Q26 guidance, although our forward year estimates do not change much.

See page 9 for analyst certification and important disclosures, including non-US analyst disclosures.

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- On **EBITA ex restructuring**, Our FY26 estimate is 7.3% higher than our previous estimate, primarily driven by the 3Q beat and our 4Q estimate increase. Our FY27/ FY28 estimates are unchanged.
- Overall, our FY26/FY27/FY28 EPS estimates are 5.5%/0.9%/0.9% higher than previously.
- Our Jun-28 price target of SEK 102 remains unchanged based on 13x our 28e EPS. Our concerns about RAN market growth in particular keep us on the sidelines on the stock. Although component costs are another risk, the company has been very agile-footed in managing costs/mix and could continue on this path (however, success is not guaranteed and the risk will remain).

Table 1: Ericsson – Changes to estimates

	4Q26E New	4Q26E Old	Diff	2026E New	2026E Old	Diff	2027E New	2027E Old	Diff	2028E New	2028E Old	Diff
Revenue	**71,423**	**70,973**	**0.6%**	**232,923**	**229,491**	**1.5%**	**232,690**	**232,349**	**0.1%**	**235,643**	**235,296**	**0.1%**
Networks	45,462	45,208	0.6%	150,142	146,894	2.2%	147,486	147,335	0.1%	148,223	148,072	0.1%
of which Products	34,225	34,034	0.6%	115,414	111,006	4.0%	113,105	111,339	1.6%	113,671	111,896	1.6%
of which Services	11,237	11,174	0.6%	34,728	35,888	-3.2%	34,381	35,996	-4.5%	34,552	36,176	-4.5%
Cloud Software & Service	20,603	20,488	0.6%	62,997	62,880	0.2%	64,572	64,453	0.2%	66,186	66,064	0.2%
of which Products	8,700	8,652	0.6%	24,539	24,110	1.8%	25,153	24,713	1.8%	25,782	25,331	1.8%
of which Services	11,902	11,836	0.6%	38,457	38,771	-0.8%	39,419	39,740	-0.8%	40,404	40,733	-0.8%
Enterprise	4,850	4,775	1.6%	18,068	17,970	0.5%	18,881	18,779	0.5%	19,447	19,342	0.5%
Other	509	501	1.6%	1,717	1,747	-1.7%	1,752	1,782	-1.7%	1,787	1,818	-1.7%
Gross profit	**33,890**	**33,389**	**1.5%**	**111,457**	**109,303**	**2.0%**	**109,896**	**109,726**	**0.2%**	**112,064**	**111,889**	**0.2%**
Networks	22,479	22,049	2.0%	75,158	72,818	3.2%	72,236	72,168	0.1%	73,253	73,184	0.1%
Cloud Software & Service	8,893	8,862	0.4%	27,380	27,320	0.2%	27,859	27,811	0.2%	28,521	28,472	0.2%
Enterprise	2,522	2,483	1.6%	9,131	9,125	0.1%	9,818	9,765	0.5%	10,307	10,251	0.5%
Other	-5	-5	n.m.	-213	41	-623.8%	-18	-18	n.m.	-18	-18	n.m.
Gross margin	**47.4%**	**47.0%**	**40bps**	**47.9%**	**47.6%**	**22bps**	**47.2%**	**47.2%**	**0bps**	**47.6%**	**47.6%**	**0bps**
Networks	49.4%	48.8%	67bps	50.1%	49.6%	49bps	49.0%	49.0%	0bps	49.4%	49.4%	0bps
Cloud Software & Service	43.2%	43.3%	-9bps	43.5%	43.4%	2bps	43.1%	43.1%	0bps	43.1%	43.1%	0bps
Enterprise	52.0%	52.0%	0bps	50.5%	50.8%	-24bps	52.0%	52.0%	0bps	53.0%	53.0%	0bps
Other	-1.0%	-1.0%	0bps	-12.4%	2.3%	-1,474bps	-1.0%	-1.0%	0bps	-1.0%	-1.0%	0bps
EBITA ex restructuring	**12,639**	**12,199**	**3.6%**	**35,194**	**32,792**	**7.3%**	**33,710**	**33,698**	**0.0%**	**35,654**	**35,637**	**0.0%**
Networks	9,711	9,566	1.5%	30,865	28,586	8.0%	28,287	28,268	0.1%	29,203	29,183	0.1%
Cloud Software & Service	3,340	3,348	-0.3%	7,832	7,959	-1.6%	7,908	7,898	0.1%	8,239	8,229	0.1%
Enterprise	-362	-665	n.m.	-3,191	-3,695	n.m.	-2,276	-2,256	n.m.	-1,612	-1,595	n.m.
Other	-50	-50	n.m.	-312	-58	n.m.	-208	-212	n.m.	-177	-180	n.m.
EBITA margin, %	**17.7%**	**17.2%**	**51bps**	**15.1%**	**14.3%**	**82bps**	**14.5%**	**14.5%**	**-2bps**	**15.1%**	**15.1%**	**-2bps**
Networks	21.4%	21.2%	20bps	20.6%	19.5%	110bps	19.2%	19.2%	-1bps	19.7%	19.7%	-1bps
Cloud Software & Service	16.2%	16.3%	-13bps	12.4%	12.7%	-23bps	12.2%	12.3%	-1bps	12.4%	12.5%	-1bps
Enterprise	-7.5%	-13.9%	648bps	-17.7%	-20.6%	290bps	-12.1%	-12.0%	-4bps	-8.3%	-8.2%	-4bps
Other	-9.9%	-9.9%	0bps	-18.2%	-3.3%	-1,487bps	-11.9%	-11.9%	0bps	-9.9%	-9.9%	0bps
Opex	**21,714**	**21,654**	**0.3%**	**77,699**	**77,921**	**-0.3%**	**77,883**	**77,781**	**0.1%**	**78,108**	**78,005**	**0.1%**
EPS diluted	**2.78**	**2.67**	**4.2%**	**7.66**	**7.27**	**5.5%**	**7.35**	**7.29**	**0.9%**	**7.82**	**7.75**	**0.9%**

Source: J.P. Morgan estimates.

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Financials

Table 2: Ericsson – Quarterly P&L

SEK, m	Q1-24	Q2-24	Q3-24	Q4-24	Q1-25	Q2-25	Q3-25	Q4-25	Q1-26	Q2-26	Q3-26	Q4-26E
Revenue	**53,325**	**59,848**	**61,794**	**72,913**	**55,025**	**56,132**	**56,239**	**69,285**	**49,332**	**52,691**	**59,478**	**71,423**
YoY growth	-14.8%	-7.1%	-4.2%	1.4%	3.2%	-6.2%	-9.0%	-5.0%	-10.3%	-6.1%	5.8%	3.1%
QoQ growth	-25.8%	12.2%	3.3%	18.0%	-24.5%	2.0%	0.2%	23.2%	-28.8%	6.8%	12.9%	20.1%
Gross Profit	22,780	26,281	28,609	33,741	26,695	26,959	27,048	33,243	23,734	25,481	28,351	33,890
Gross Margin	**42.7%**	**43.9%**	**46.3%**	**46.3%**	**48.5%**	**48.0%**	**48.1%**	**48.0%**	**48.1%**	**48.4%**	**47.7%**	**47.4%**
R&D	11,581	14,121	12,174	13,519	12,012	11,912	11,551	12,798	10,894	11,362	11,560	12,594
SG&A	8,598	22,717	9,217	10,278	8,518	8,134	7,840	8,712	7,397	7,612	7,160	9,120
Total Opex	20,179	36,838	21,391	23,797	20,530	20,046	19,391	21,510	18,291	18,974	18,720	21,714
% of sales	37.8%	61.6%	34.6%	32.6%	37.3%	35.7%	34.5%	31.0%	37.1%	36.0%	31.5%	30.4%
EBIT	**4,305**	**-11,891**	**7,327**	**9,584**	**6,180**	**6,979**	**15,362**	**12,004**	**5,524**	**6,561**	**9,618**	**12,194**
EBIT margin	**8.1%**	**-19.9%**	**11.9%**	**13.1%**	**11.2%**	**12.4%**	**27.3%**	**17.3%**	**11.2%**	**12.5%**	**16.2%**	**17.1%**
Net Financial Income	-471	-361	-501	-391	-74	34	-212	-80	-193	-172	-910	-80
Pre-Tax Income	3,834	-12,252	6,826	9,193	6,106	7,013	15,150	11,924	5,331	6,389	8,708	12,114
Tax	1,016	-2,881	1,392	2,688	1,640	1,799	3,639	2,510	362	1,665	2,157	3,028
Tax Rate	26.5%	23.5%	20.4%	29.2%	26.9%	25.7%	24.0%	21.0%	6.8%	26.1%	24.8%	25.0%
Net Income	2,818	-9,371	5,434	6,505	4,466	5,214	11,511	9,414	4,969	4,724	6,551	9,085
Net Income Margin	5.3%	-15.7%	8.8%	8.9%	8.1%	9.3%	20.5%	13.6%	10.1%	9.0%	11.0%	12.7%
EPS (basic)	0.83	-2.85	1.61	1.92	1.32	1.55	3.41	2.82	1.49	1.42	2.01	2.79
EPS (diluted)	**0.83**	**-2.85**	**1.61**	**1.92**	**1.32**	**1.54**	**3.40**	**2.81**	**1.49**	**1.42**	**2.01**	**2.78**
Diluted share count (m)	3335	3339	3339	3339	3339	3343	3342	3342	3343	3316	3267	3230

Source: Company reports and J.P. Morgan estimates.

Table 3: Ericsson – Annual P&L

	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenue	**210,838**	**227,216**	**232,390**	**232,314**	**271,546**	**263,351**	**247,880**	**236,681**	**232,923**	**232,690**	**235,643**
YoY growth	2.0%	7.8%	2.3%	0.0%	16.9%	-3.0%	-5.9%	-4.5%	-1.6%	-0.1%	1.3%
Gross Profit	74,138	85,161	94,449	101,022	113,490	104,404	111,411	113,945	111,457	109,896	112,064
Gross Margin	**35.2%**	**37.5%**	**40.6%**	**43.5%**	**41.8%**	**39.6%**	**44.9%**	**48.1%**	**47.9%**	**47.2%**	**47.6%**
R&D	37,616	38,471	39,303	41,937	47,244	48,233	51,395	48,273	46,410	45,172	45,303
SG&A	26,735	26,020	26,514	26,818	35,542	37,967	50,810	33,204	31,289	32,711	32,805
Total Opex	64,351	64,491	65,817	68,755	82,786	86,200	102,205	81,477	77,699	77,883	78,108
% of sales	30.5%	28.4%	28.3%	29.6%	30.5%	32.7%	41.2%	34.4%	33.4%	33.5%	33.1%
EBIT	**9,257**	**11,362**	**29,114**	**32,329**	**27,419**	**-13,805**	**9,325**	**40,971**	**33,897**	**31,838**	**33,782**
EBIT excl JV	**9,257**	**11,362**	**29,114**	**32,329**	**27,419**	**-13,805**	**9,325**	**40,971**	**33,897**	**31,838**	**33,782**
EBIT margin	**4.4%**	**5.0%**	**12.5%**	**13.9%**	**10.1%**	**-5.2%**	**3.8%**	**17.3%**	**14.6%**	**13.7%**	**14.3%**
EBIT margin (excl JV)	**4.4%**	**5.0%**	**12.5%**	**13.9%**	**10.1%**	**-5.2%**	**3.8%**	**17.3%**	**14.6%**	**13.7%**	**14.3%**
Net Financial Income	-2,705	-1,802	-596	-2,530	-2,411	-2,993	-1,724	-332	-1,355	-300	-250
Pre-Tax Income	6,552	9,560	28,518	29,799	25,008	-16,798	7,601	40,639	32,542	31,538	33,532
Tax	3,110	3,184	10,063	6,331	5,497	2,785	2,215	9,588	7,212	7,885	8,383
Tax Rate	47.5%	33.3%	35.3%	21.2%	22.0%	-16.6%	29.1%	23.6%	22.2%	25.0%	25.0%
Net Income	3,442	6,376	18,455	23,468	19,511	-19,583	5,386	31,051	25,329	23,654	25,149
Net Income Margin	1.6%	2.8%	7.9%	10.1%	7.2%	-7.4%	2.2%	13.1%	10.9%	10.2%	10.7%
EPS (basic)	0.97	2.04	5.51	6.96	5.74	-5.98	1.51	9.23	7.69	7.37	7.84
EPS (diluted)	**0.96**	**2.03**	**5.50**	**6.96**	**5.74**	**-5.98**	**1.51**	**9.21**	**7.66**	**7.35**	**7.82**
Diluted share count (m)	3,316	3,326	3,329	3,332	3,333	3,333	3,338	3,342	3,289	3,202	3,202

Source: Company reports and J.P. Morgan estimates.

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Table 4: Ericsson – Balance Sheet

SEK, m	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Goodwill	30,035	31,200	34,945	38,204	84,570	52,944	56,077	46,882	50,647	50,647	50,647
Intellectual Property Rights	3,474	2,491	4,805	3,830	26,340	22,667	7,954	5,631	4,881	4,683	4,502
Property, Plant, Equipment	12,849	13,850	13,383	13,580	14,236	12,195	10,545	8,789	9,062	8,656	8,417
Equity in JV and Associates	611	1,565	1,274	941	1,127	1,150	1,179	1,507	1,405	1,231	1,057
Other Non-Current Assets	60,625	73,363	67,328	74,254	49,461	53,092	62,312	72,860	77,372	75,405	74,050
Total Non Current Assets	**107,594**	**122,469**	**121,735**	**130,809**	**175,734**	**142,048**	**138,067**	**135,669**	**143,367**	**140,623**	**138,673**
Inventories	29,255	30,863	28,097	35,164	45,846	36,073	27,125	23,451	25,022	28,596	28,779
Accounts Receivable	64,350	55,240	53,336	55,905	58,256	50,214	51,075	47,660	49,203	46,538	47,129
Short Term Investments	6,625	6,759	6,820	12,932	8,736	9,584	12,546	12,715	7,697	7,697	7,697
Cash and Cash Equivalents	38,389	45,079	43,612	54,050	38,349	35,190	43,885	43,926	57,868	65,803	79,455
Other Current Assets	22,548	15,973	17,930	16,754	22,616	23,927	19,676	15,802	17,785	17,213	17,407
Total Current Assets	**161,167**	**153,914**	**149,795**	**174,805**	**173,803**	**154,988**	**154,307**	**143,554**	**157,575**	**165,847**	**180,467**
Total Assets	**268,761**	**276,383**	**271,530**	**305,614**	**349,537**	**297,036**	**292,374**	**279,223**	**300,941**	**306,470**	**319,140**
Borrowings, non-current	30,870	28,257	22,218	22,241	26,946	29,218	31,904	29,165	27,816	27,816	27,816
Other Non-Current Liabilities	39,207	49,429	49,815	49,322	43,667	41,011	35,613	28,857	26,432	26,308	26,314
Total Non-current Liabilities	**70,077**	**77,686**	**72,033**	**71,563**	**70,613**	**70,229**	**67,517**	**58,022**	**54,248**	**54,124**	**54,130**
Borrowings, current	2,255	9,439	7,942	9,590	5,984	17,655	6,137	3,538	9,455	9,455	9,455
Accounts Payable	29,883	30,403	31,988	35,684	38,437	27,768	30,173	26,335	29,193	26,914	27,086
Other Current Liabilities	78,776	76,977	74,390	81,678	101,199	83,976	95,564	81,064	96,488	86,274	83,643
Total Current Liabilities	**110,914**	**116,819**	**114,320**	**126,952**	**145,620**	**129,399**	**131,874**	**110,937**	**135,136**	**122,643**	**120,184**
Total Liabilities	**180,991**	**194,505**	**186,353**	**198,515**	**216,233**	**199,628**	**199,391**	**168,959**	**189,384**	**176,766**	**174,314**
Total Equity	**87,770**	**81,878**	**85,177**	**107,099**	**133,304**	**97,408**	**92,983**	**110,264**	**111,557**	**129,703**	**144,826**

Source: Company reports and J.P. Morgan estimates.

Table 5: Ericsson – Cash Flows

SEK, m	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Net Income to stockholders	-6,276	1,840	17,623	22,980	19,112	-26,104	374	30,765	25,209	23,534	25,029
Depreciation & Amortization	8,318	9,089	8,674	8,969	10,543	43,889	25,734	9,241	8,039	6,818	6,061
Adjustments	-488	3,137	6,241	7,996	7,095	7,821	4,883	1,552	3,764	513	513
Change in WIP	7,788	2,807	-3,605	4,002	619	-11,999	22,817	378	3,437	-12,955	-3,420
Cash Flow From Operations	**9,342**	**16,873**	**28,933**	**39,065**	**30,863**	**7,177**	**46,261**	**35,005**	**38,266**	**17,910**	**28,183**
Investments in PPE	-3,975	-5,118	-4,493	-3,663	-4,477	-3,297	-2,340	-2,630	-3,032	-2,586	-2,618
Cash flow from short term investments	2,242	4,214	-1,348	-15,301	0	0	0	0	0	0	0
Other investing cashflow	-2,399	-2,637	-9,360	-919	-29,920	-5,416	-13,612	-8,807	1,010	-1,663	-1,667
Cash Flow from Investing	**-4,132**	**-3,541**	**-15,201**	**-19,883**	**-34,397**	**-8,713**	**-15,952**	**-11,437**	**-2,021**	**-4,248**	**-4,285**
Equity raised/repaid	0	0	0	0	0	0	0	6	-11,750	-3,000	0
Debt raised/repaid	0	0	0	2,091	-5,274	11,844	-12,302	-3,140	5,426	0	0
Dividends Paid	-3,425	-4,450	-5,996	-6,889	-8,415	-9,104	-9,233	-9,545	-9,881	-10,245	-10,245
Other financing cashflow	-652	-2,450	-6,496	-4,509	-2,241	-1,733	-2,330	-1,544	-3,775	0	0
Cash Flow From Financing	**-4,077**	**-6,900**	**-12,492**	**-9,307**	**-15,930**	**1,007**	**-23,865**	**-14,223**	**-19,980**	**-13,245**	**-10,245**
Effect of exchange rate changes on cash	1,372	258	-2,707	563	3,763	-2,630	2,251	-7,253	3,145	0	0
Net Change in Cash	**2,505**	**6,690**	**-1,467**	**10,438**	**-15,701**	**-3,159**	**8,695**	**2,092**	**19,410**	**416**	**13,652**
Cash and Cash Equivalents, Beginning	35,884	38,389	45,079	43,612	54,050	38,349	35,190	43,885	45,977	65,387	65,803
Cash and Cash Equivalents, End	**38,389**	**45,079**	**43,612**	**54,050**	**38,349**	**35,190**	**43,885**	**45,977**	**65,387**	**65,803**	**79,455**
Free Cash Flow	**4,442**	**10,210**	**23,623**	**34,440**	**24,666**	**1,707**	**42,621**	**31,237**	**33,741**	**13,878**	**24,114**

Source: Company reports and J.P. Morgan estimates.

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Investment Thesis, Valuation and Risks

Ericsson *(Neutral; Price Target: Skr102.00)*

Investment Thesis
Ericsson remains a stock that is mainly exposed to mobile infrastructure growth. With 5G infrastructure build slowing in developed markets as the capex focus has shifted to optical, routing and other technologies that telcos need to invest in for AI infrastructure, Ericsson's growth will be limited until the 6G investment cycle starts. Thus, earnings growth is highly dependent on cost optimisation rather than revenue growth. It is this lack of near-term growth potential that leads us to a Neutral rating on the stock.

Valuation
Ericsson's trading range, excluding periods of more extreme valuations, spans from 12x to 19x forward P/E with a median multiple of 15x over the last decade. We set the target price lower than the median multiple because of the lack of growth and upgrade potential until the 6G cycle begins. We retain our June-28 price target of SEK 102. The target price is based on P/E of ~13x of FY28 EPS. Adjusting this PT for USD/SEK gives us our June-28 ADR price target of $10.2.

Risks to Rating and Price Target
Downside:

- 5G begins to slow as US and other developed markets roll out
- Slower-than-expected progress and lower visible earnings impact from the ongoing and any future cost-cutting programmes
- Weaker-than-expected capex spending by operators
- Ericsson share loss in the communications equipment market
- Greater-than-expected pricing pressure

Upside:

- Cost controls driving earlier-than-expected turnaround in margins
- Any recovery in US 5G spending

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Investment Thesis, Valuation and Risks

Ericsson ADR *(Neutral; Price Target: $10.20)*

Investment Thesis
Ericsson remains a stock that is mainly exposed to mobile infrastructure growth. With 5G infrastructure build slowing in developed markets as the capex focus has shifted to optical, routing and other technologies that telcos need to invest in for AI infrastructure, Ericsson's growth will be limited until the 6G investment cycle starts. Thus, earnings growth is highly dependent on cost optimisation rather than revenue growth. It is this lack of near-term growth potential that leads us to a Neutral rating on the stock.

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Ericsson: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E
Revenue	**247,880**	**236,681**	**232,923**	**232,690**
COGS	(110,735)	(113,941)	(113,428)	(115,976)
Gross profit	**111,411**	**113,945**	**111,457**	**109,896**
SG&A	(50,810)	(33,204)	(31,289)	(32,711)
Adj. EBITDA	**35,059**	**49,766**	**41,936**	**38,657**
D&A	(25,734)	(8,795)	(8,039)	(6,818)
Adj. EBIT	**9,325**	**40,971**	**33,898**	**31,838**
Net Interest	(1,724)	(332)	(1,355)	(300)
Adj. PBT	**7,601**	**40,639**	**32,543**	**31,538**
Tax	(2,215)	(9,588)	(7,212)	(7,885)
Minority Interest	(354)	(286)	(120)	(120)
Adj. Net Income	**5,032**	**30,765**	**25,210**	**23,534**
Reported EPS	1.51	9.21	7.67	7.35
Adj. EPS	**1.51**	**9.21**	**7.67**	**7.35**
DPS	**2.00**	**2.85**	**3.00**	**3.20**
Payout ratio	132.7%	31.0%	39.1%	43.5%
Shares outstanding	3,338	3,342	3,289	3,202

Balance Sheet	FY24A	FY25A	FY26E	FY27E
Cash and cash equivalents	43,885	43,926	57,868	65,803
Accounts receivable	70,751	63,462	66,988	63,751
Inventories	27,125	23,451	25,022	28,596
Other current assets	12,546	12,715	7,697	7,697
Current assets	**154,307**	**143,554**	**157,575**	**165,847**
PP&E	10,545	8,789	9,062	8,656
LT investments	3,208	3,416	3,571	3,397
Other non current assets	124,314	123,464	130,734	128,569
Total assets	**292,374**	**279,223**	**300,941**	**306,470**
Short term borrowings	6,137	3,538	9,455	9,455
Payables	30,173	26,335	29,193	26,914
Other short term liabilities	95,564	81,064	96,488	86,274
Current liabilities	**131,874**	**110,937**	**135,136**	**122,643**
Long-term debt	31,904	29,165	27,816	27,816
Other long term liabilities	35,613	28,857	26,432	26,308
Total liabilities	**199,391**	**168,959**	**189,384**	**176,766**
Shareholders' equity	94,284	109,535	110,684	128,710
Minority interests	(1,301)	729	873	993
Total liabilities & equity	**292,374**	**279,223**	**300,941**	**306,470**
BVPS	**28.25**	**32.78**	**33.65**	**40.20**
y/y Growth	*(4.6%)*	*16.1%*	*2.7%*	*19.5%*
Net debt/(cash)	(18,390)	(23,938)	(28,294)	(36,229)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E
Cash flow from operating activities	**46,261**	**35,005**	**38,266**	**17,910**
o/w Depreciation & amortization	25,734	9,241	8,039	6,818
o/w Changes in working capital	22,817	378	3,437	(12,955)
Cash flow from investing activities	**(15,952)**	**(11,437)**	**(2,021)**	**(4,248)**
o/w Capital expenditure	(2,340)	(2,630)	(3,032)	(2,586)
as % of sales	*0.9%*	*1.1%*	*1.3%*	*1.1%*
Cash flow from financing activities	**(23,865)**	**(14,223)**	**(19,980)**	**(13,245)**
o/w Dividends paid	(9,233)	(9,545)	(9,881)	(10,245)
o/w Shares issued/(repurchased)	0	6	(11,750)	(3,000)
o/w Net debt issued/(repaid)	(12,302)	(3,140)	5,426	0
Net change in cash	**8,695**	**2,092**	**19,410**	**416**
Adj. Free cash flow to firm	**42,621**	**31,237**	**33,741**	**13,878**
y/y Growth	*2396.8%*	*(26.7%)*	*8.0%*	*(58.9%)*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E
Gross margin	44.9%	48.1%	47.9%	47.2%
EBITDA margin	14.1%	21.0%	18.0%	16.6%
EBIT margin	3.8%	17.3%	14.6%	13.7%
Net profit margin	2.0%	13.0%	10.8%	10.1%
ROE	5.2%	30.2%	22.9%	19.7%
ROA	1.7%	10.8%	8.7%	7.7%
ROCE	4.8%	22.8%	18.2%	15.2%
SG&A/Sales	20.5%	14.0%	13.4%	14.1%
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
Sales/Assets (x)	0.8	0.8	0.8	0.8
Assets/Equity (x)	3.1	2.8	2.6	2.5
Interest cover (x)	20.3	149.9	30.9	128.9
Operating leverage	2852.0%	(7511.6%)	1087.4%	6066.6%
Tax rate	29.1%	23.6%	22.2%	25.0%
Revenue y/y Growth	(5.9%)	(4.5%)	(1.6%)	(0.1%)
EBITDA y/y Growth	16.5%	41.9%	(15.7%)	(7.8%)
EPS y/y Growth	(125.2%)	510.7%	(16.7%)	(4.1%)

Valuation	FY24A	FY25A	FY26E	FY27E
P/E (x)	68.8	11.3	13.5	14.1
P/BV (x)	3.7	3.2	3.1	2.6
EV/EBITDA (x)	8.8	5.8	6.7	7.1
Dividend Yield	1.9%	2.7%	2.9%	3.1%

Source: Company reports and J.P. Morgan estimates.
Note: Skr in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Ericsson ADR: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E
Revenue	**22,555**	**23,845**	**24,291**	**23,269**
COGS	(10,076)	(11,479)	(11,829)	(11,598)
Gross profit	**10,137**	**11,480**	**11,624**	**10,990**
SG&A	(4,623)	(3,345)	(3,263)	(3,271)
Adj. EBITDA	**3,190**	**5,014**	**4,374**	**3,866**
D&A	(2,342)	(886)	(838)	(682)
Adj. EBIT	**848**	**4,128**	**3,535**	**3,184**
Net Interest	(157)	(33)	(141)	(30)
Adj. PBT	**692**	**4,094**	**3,394**	**3,154**
Tax	(202)	(966)	(752)	(788)
Minority Interest	(32)	(29)	(13)	(12)
Adj. Net Income	**458**	**3,100**	**2,629**	**2,353**
Reported EPS	0.14	0.93	0.80	0.74
Adj. EPS	**0.14**	**0.93**	**0.80**	**0.74**
DPS	**0.18**	**0.29**	**0.31**	**0.32**
Payout ratio	132.7%	31.0%	39.1%	43.5%
Shares outstanding	3,338	3,342	3,289	3,202

Balance Sheet	FY24A	FY25A	FY26E	FY27E
Cash and cash equivalents	3,993	4,425	6,035	6,580
Accounts receivable	6,438	6,394	6,986	6,375
Inventories	2,468	2,363	2,610	2,860
Other current assets	1,142	1,281	803	770
Current assets	**14,041**	**14,463**	**16,433**	**16,585**
PP&E	960	885	945	866
LT investments	292	344	372	340
Other non current assets	11,312	12,439	13,634	12,857
Total assets	**26,604**	**28,131**	**31,385**	**30,647**
Short term borrowings	558	356	986	946
Payables	2,745	2,653	3,044	2,691
Other short term liabilities	8,696	8,167	10,063	8,627
Current liabilities	**11,999**	**11,177**	**14,093**	**12,264**
Long-term debt	2,903	2,938	2,901	2,782
Other long term liabilities	3,240	2,907	2,757	2,631
Total liabilities	**18,143**	**17,022**	**19,751**	**17,677**
Shareholders' equity	8,579	11,035	11,543	12,871
Minority interests	(118)	73	91	99
Total liabilities & equity	**26,604**	**28,131**	**31,385**	**30,647**
BVPS	**2.57**	**3.30**	**3.51**	**4.02**
y/y Growth	*(13.1%)*	*28.5%*	*6.3%*	*14.5%*
Net debt/(cash)	(1,673)	(2,412)	(2,951)	(3,623)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E
Cash flow from operating activities	**4,209**	**3,527**	**3,991**	**1,791**
o/w Depreciation & amortization	2,342	931	838	682
o/w Changes in working capital	2,076	38	358	(1,296)
Cash flow from investing activities	**(1,451)**	**(1,152)**	**(211)**	**(425)**
o/w Capital expenditure	(213)	(265)	(316)	(259)
as % of sales	*0.9%*	*1.1%*	*1.3%*	*1.1%*
Cash flow from financing activities	**(2,172)**	**(1,433)**	**(2,084)**	**(1,325)**
o/w Dividends paid	(840)	(962)	(1,031)	(1,025)
o/w Shares issued/(repurchased)	0	1	(1,225)	(300)
o/w Net debt issued/(repaid)	(1,119)	(316)	566	0
Net change in cash	**791**	**211**	**2,024**	**42**
Adj. Free cash flow to firm	**3,878**	**3,147**	**3,519**	**1,388**
y/y Growth	*2174.2%*	*(18.9%)*	*11.8%*	*(60.6%)*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E
Gross margin	44.9%	48.1%	47.9%	47.2%
EBITDA margin	14.1%	21.0%	18.0%	16.6%
EBIT margin	3.8%	17.3%	14.6%	13.7%
Net profit margin	2.0%	13.0%	10.8%	10.1%
ROE	5.0%	31.6%	23.3%	19.3%
ROA	1.6%	11.3%	8.8%	7.6%
ROCE	4.5%	23.9%	18.5%	14.9%
SG&A/Sales	20.5%	14.0%	13.4%	14.1%
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
Sales/Assets (x)	0.8	0.9	0.8	0.8
Assets/Equity (x)	3.1	2.8	2.6	2.5
Interest cover (x)	20.3	149.9	30.9	128.9
Operating leverage	1132.1%	6756.8%	(767.1%)	236.1%
Tax rate	29.1%	23.6%	22.2%	25.0%
Revenue y/y Growth	(14.3%)	5.7%	1.9%	(4.2%)
EBITDA y/y Growth	6.1%	57.2%	(12.8%)	(11.6%)
EPS y/y Growth	(123.0%)	576.2%	(13.8%)	(8.0%)

Valuation	FY24A	FY25A	FY26E	FY27E
P/E (x)	78.1	11.5	13.4	14.6
P/BV (x)	4.2	3.2	3.1	2.7
EV/EBITDA (x)	8.2	4.7	5.2	5.8
Dividend Yield	1.7%	2.7%	2.9%	3.0%

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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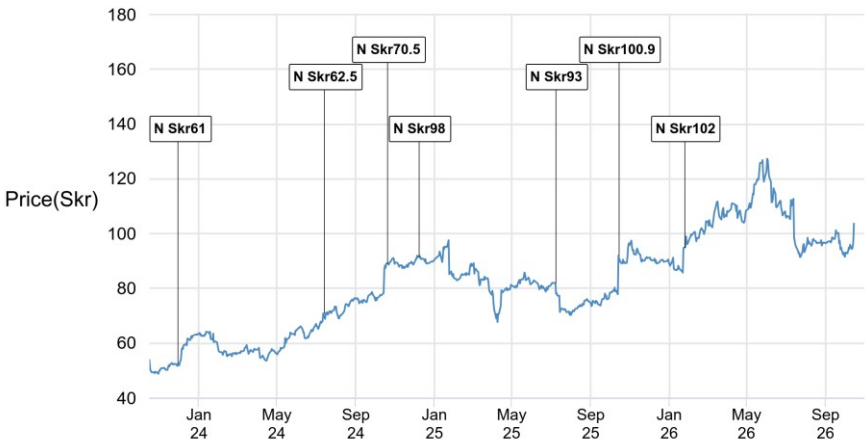
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Ericsson (ERICb.ST, ERICB SS) Price Chart



Date	Rating	Price (Skr)	Price Target (Skr)
30-Nov-23	N	52.58	61
15-Jul-24	N	70.88	62.5
21-Oct-24	N	89.02	70.5
09-Dec-24	N	91.36	98
09-Jul-25	N	82.06	93
15-Oct-25	N	91.94	100.9
26-Jan-26	N	94.80	102

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 28, 1998. All share prices are as of market close on the previous business day.

Ericsson ADR (ERIC, ERIC US) Price Chart



Date	Rating	Price ($)	Price Target ($)
18-Oct-23	OW	4.62	7.78
30-Nov-23	N	5.01	5.88
24-Jan-24	N	5.89	5.81
17-Apr-24	N	4.88	5.58
15-Jul-24	N	6.68	5.9
21-Oct-24	N	8.50	6.7
09-Dec-24	N	8.33	8.9
11-Apr-25	N	7.11	9.8
09-Jul-25	N	8.54	8.9
15-Oct-25	N	9.85	10.6
26-Jan-26	N	10.43	11.4
08-Oct-26	N	9.46	10.2

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Mar 26, 2010. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
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	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	53%	35%	12%
IB clients**	83%	81%	72%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	93%	88%

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